**IMPARTIAL ANALYSIS OF MEASURE I**

If adopted by the voters of the City of Eureka, this ballot measure would increase Eureka's transient occupancy tax (TOT) by two percent (2%) of rent charged for stays of less than 30 days, up from ten percent (10%) currently, to a total of twelve percent (12%). These percentages are paid by the guests on top of the rent charged by the operator of an accommodation, including but not limited to hotels, motels, campgrounds, short-term vacation rentals, and similar facilities.

The additional 2% tax would take effect on January 1, 2027. This type of tax is authorized by State Law and is paid by "transients," defined in the Eureka Municipal Code as, "Any person who exercises occupancy or is entitled to occupancy by reason of concession, permit, right of access, license, or other agreement for a period of 30 consecutive calendar days or less, counting portions of calendar days as full days."

The TOT, including the proposed 2% increase, is a general-purpose tax, meaning that all revenue from this tax will be deposited into the City's General Fund. Accordingly, all revenues from this tax will be used by the City to maintain general City operations including police, fire, 911 emergency medical response, youth and senior services, business and economic development, street repair and road safety, community health and mental health services, homelessness prevention programs, parks and recreation, debt reduction, and other essential services impacted by tourism. Because this is a "general purpose tax," it requires a simple-majority vote to pass.

If approved by a majority of voters on November 3, 2026, the tax would take effect January 1, 2027, and would remain in effect until amended or terminated by a majority of Eureka voters.

The tax imposed by Measure I is estimated to generate approximately $700,000 per year, with independent auditing required by State Law and oversight by the City's Financial Advisory Committee.

A "yes" vote is a vote to enact a 2% increase in the City's Transient Occupancy Tax to take effect January 1, 2027.

A "no" vote is a vote against the enactment of a 2% increase in the City's Transient Occupancy Tax.

**The above statement is an impartial analysis of Measure I. If you desire a copy of the ordinance or measure, please call the elections official's office at 707-445-7481 and a copy will be mailed at no cost to you.**

You may also access the full text of the measure on the county website at the following website address (www.humboldtgov.org/elections).

**Argument in Favor of Measure I**

A YES vote on Measure I is a vote to support the quality of life in Eureka while ensuring that visitors help pay for the services they use.

Measure I increases the City's Transient Occupancy Tax (hotel tax) from 10% to 12%, bringing Eureka in line with County jurisdiction. This tax is paid by guests staying in hotels, motels, and short-term vacation rentals for fewer than 30 days, not by Eureka residents.

Every year, thousands of visitors come to our community to enjoy our parks, streets, public spaces, events, and public safety services. Tourism strengthens our local economy, but it also creates additional demands on police, fire, emergency medical response, roads, parks, and other City services. Measure I helps ensure that visitors contribute a fair share toward maintaining these essential services.

The measure is expected to generate approximately $700,000 annually to support general City services, including police, fire protection, 911 emergency medical response, street repair and road safety, parks and recreation, community health and mental health services, business and economic development, homelessness prevention programs, and other essential services that benefit residents and visitors alike.

Measure I also provides important accountability. State law requires independent financial audits, and the City's Finance Advisory Committee will provide ongoing oversight of the revenue generated by this measure.

Without additional revenue, the City will face increasing challenges in maintaining the high level of public services that residents expect and that visitors rely upon. By asking those who stay overnight to contribute slightly more, Measure I provides a responsible, balanced way to help preserve the services that make Eureka a safe, welcoming, and vibrant community.

Please join community members in voting YES on Measure I to protect essential City services and invest in Eureka's future.

/s/ Scott Bauer, Councilmember
/s/ Leslie Castellano, Councilmember
/s/ Heidi Benzonelli, Community Member
/s/ Kati E. Moulton, Councilmember